

complaint

Mr and Mrs W are unhappy that AXA Insurance UK Plc ("AXA") declined their home insurance claim and voided their policy due to non disclosure of previous subsidence.

background

Mr and Mrs W incepted an AXA buildings and contents policy via a broker to start on 24 March 2018.

On 30 August 2018 Mr and Mrs W made a claim for subsidence damage.

AXA investigated the claim and determined that the property showed signs of previous movement over several years. It also said there had been subsidence in the property which had stood on the site before and that the local church had been demolished in 2015 due to subsidence.

AXA took the decision to decline the claim and void the policy on the grounds that Mr and Mrs W had provided inaccurate information on the statement of fact when they applied for the policy. It said its underwriters had concluded that Mr and Mrs W had knowledge of previous ground movement in the area and that had this information been disclosed then the policy would not have been offered.

Mr and Mrs W said that at the time of completing the proposal form they were not aware of any subsidence issues affecting the property. They also said the questions on the form were vaguely worded. They were unhappy that the policy had been voided and complained to this service.

Our investigator upheld the complaint. He agreed with Mr and Mrs W that the questions about the property and area being free from signs of subsidence were vague and didn't specify what was meant by subsidence. He said he wasn't persuaded that Mr and Mrs W had knowledge of any subsidence and said AXA had acted unreasonably in voiding the policy.

AXA didn't agree. It said Mr and Mrs W had stated that the property was free from damage or defect of any kind but that its investigation had revealed that the property showed signs of previous movement. It said that Mr W's building company had constructed the property in 1997 without carrying out an appropriate ground condition investigation and that the property was sinking because its foundations were near the bottom of firm clay, below which was poor ground of little load bearing capacity. AXA said that as a builder, Mr W would have been aware of subsidence and ground movement because this was an aspect of building regulations. It also said that Mr W had confirmed that the previous property on the site had suffered from subsidence.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The relevant law in this case is The Consumer Insurance (Disclosure and Misrepresentation) Act 2012 ("CIDRA"). This requires consumers to take reasonable care not to make a misrepresentation when taking out a consumer contract (a policy). The standard of care is that of a reasonable consumer.

If a consumer fails to do this, the insurer has certain remedies provided that the misrepresentation is a qualifying misrepresentation. For it to be a qualifying misrepresentation, the insurer has to show it would have offered the policy on different terms or not at all if the consumer hadn't made the misrepresentation.

CIDRA sets out a number of considerations for deciding whether the consumer failed to take reasonable care. One of these is how clear and specific the insurer's questions were. The remedy available to the insurer under CIDRA depends on whether the qualifying misrepresentation was deliberate, or reckless or careless.

If the misrepresentation was reckless or deliberate, and an insurer can show it would have at least offered the policy on different terms, it is entitled to avoid the consumer's policy. If the misrepresentation was careless, then to avoid the policy, the insurer must show it would not have offered the policy at all if it wasn't for the misrepresentation.

If the insurer is entitled to avoid the policy, it means it will not have to deal with any claims under it. If the qualifying misrepresentation was careless and the insurer would have charged a higher premium if the consumer hadn't made the misrepresentation, it will have to consider the claim and settle it proportionately if it accepts it.

I've thought about whether Mr and Mrs W took reasonable care not to make a misrepresentation. In doing so, I've looked at the questions in the proposal. The relevant questions (and answers) are as follows:

- Is the property in a good state of repair and free from damage or defect of any kind and will it be maintained in a good state of repair? Yes
- Is your home free from any signs of subsidence and in an area free from subsidence? Yes
- Has your home ever been repaired or monitored in connection with subsidence, ground heave or landslide? No

AXA has said that Mr and Mrs W knew about previous subsidence but didn't declare it. It has given several reasons for this including:

- The property previously on the site was demolished due to subsidence issues
- The neighbouring church was demolished in 2015 due to subsidence issues
- Mr W is a builder and would be aware of subsidence/ground movement in the area
- The property showed signs of previous movement involving the single storey extensions and there was re-cracking to previous repairs

I've thought about how clear and specific the questions were and whether the answers given by Mr and Mrs W could be said to be inaccurate. In doing so, I've had regard to the fact that a consumer is only obliged to provide answers to the best of their ability.

Mr and Mrs W answered the first of the questions and said the property was free from damage or defects of any kind. AXA has said that its investigation revealed that the property showed signs of previous movement. Whilst Mr and Mrs W have acknowledged that there has been some movement in the past, they've said that they thought this was due to settlement. I don't think it was unreasonable for Mr and Mrs W to hold this opinion, because the movement was limited to the additional single storey extensions to the property.

In relation to the question about the property and area being free from subsidence, I agree with Mr and Mrs W that this question is vague. It doesn't define "area" by reference to a geographical location, nor does it specify the timeframe by reference to which the question relates.

I've taken into account what AXA has said about the property which was previously on the same site. I've also looked at the information AXA provided about the local church. There's no dispute that the previous property was demolished. AXA has said this was due to subsidence but Mr W has said he understood it was because it didn't have suitable foundations. Given that Mr and Mrs W didn't live in the previous property, I wouldn't expect them to have any particular knowledge of why it was demolished. I haven't seen any evidence to suggest that the previous property was demolished because of subsidence issues, so I don't think it's reasonable for AXA to expect Mr and Mrs W to know this.

Similarly, whilst it's not in dispute that the local church was demolished, Mr W has said that he believes this was due to disrepair. The local authority report provided by AXA suggests that the church may have been affected by subsidence, but I'm not persuaded that Mr and Mrs W would have been privy to that report. AXA has said that an information board at the site of the church states that the reason for its demolition was subsidence but this isn't clear from the images of the board which have been provided. The article from the ecclesiastical paper refers to local concern about the demolition of the church but there's no evidence that Mr and Mrs W read the article or that they would have been aware of any subsidence issues by virtue of living locally. On balance, I don't think it's reasonable to say that Mr and Mrs W deliberately, recklessly or carelessly misrepresented anything when they answered the questions.

I've considered whether Mr W's occupation as a builder means that he would – or ought to have been – aware of subsidence affecting the property or the area. AXA has said that Mr W's construction firm built the property, and that an experienced builder could reasonably have foreseen that conventional strip footings would be likely to be inadequate for the site unless a site investigation established that peat wasn't present beneath the site. But I don't think this point goes to the issue of whether Mr and Mrs W provided inaccurate information or made a misrepresentation when they completed the proposal, which is the reason for the policy being voided, as opposed to it being voided because of defective design of the property. Further, if AXA wanted to advance an argument that the property was poorly constructed in the first place, I'd expect it to substantiate this, by providing (for instance), evidence of a failure to comply with building regulations.

Based on everything I've seen, I'm not satisfied that there are grounds to suggest that Mr and Mrs W misrepresented anything when they completed the proposal. Because of this, I think AXA acted unfairly when it voided the policy and I think it should honour the claim as if the policy hadn't been voided.

my final decision

My final decision is that I uphold the complaint. AXA Insurance UK Plc should honour the claim as if the policy hadn't been voided.

Where I uphold a complaint, I can award fair compensation to be paid by a financial business of up to £160,000, plus any interest and/or costs/interest on costs that I consider appropriate. If I think that fair compensation is more than £160,000, I may recommend that the business pays the balance.

I think fair compensation is more than £160,000 so I recommend that AXA Insurance UK Plc pays Mr and Mrs W the balance. This recommendation is not part of my determination or award. AXA doesn't have to do what I recommend. It's unlikely that Mr and Mrs W can accept my decision and go to court to ask for the balance. Mr and Mrs W may want to get independent legal advice before deciding whether to accept this decision.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs W to accept or reject my decision before 14 August 2020.

Emma Davy
ombudsman